

Contract No. _____

USE AGREEMENT

An Agreement to permit Warren Federal Credit Union limited use of the public right-of-way for the installation of fiber optic communications systems and setting a fee.

Section 1. Definitions.

For the purposes of this Agreement, and where used herein, the following terms shall be deemed to have the following meanings:

- a. City means the City of Cheyenne, Wyoming, a municipal corporation organized under the laws of the State of Wyoming.
- b. Company means Warren Federal Credit Union, authorized to do business in the State of Wyoming.
- c. Facilities means a system of providing telephonic and other telecommunications services, which system includes all wires, cables, conduits, vaults and other necessary fixtures and equipment for the transmission of sound and signals.
- d. Sidewalk means that portion of a street, other than the roadway, set apart by curbs, barriers, marking or other delineation for pedestrian travel, including parkways not on private property.
- e. Street means the entire width between the boundary lines of every way dedicated to the public use, and publicly maintained for the purposes of vehicular travel, including alleys.

Section 2. Permission Granted.

- a. The City hereby grants to the Company limited permission to install fiber optic communications systems along the public right-of-way in Cheyenne, Wyoming. The specific area where the underground fiber optic cable has been installed is contained in Appendix A to this Agreement.
- b. This permission for use is granted for a period not to exceed five (5) years commencing upon execution of this Agreement.

Section 3. Termination.

This Agreement is subject to termination on or after the fifth anniversary of this document if the governing body determines to adopt a comprehensive franchise ordinance for Company. This Agreement may also be terminated pursuant to Sections 7 and 14 herein.

Section 4. Use of Streets.

The Company's facilities shall be located, constructed and maintained so that none of its facilities shall endanger the lives or property of the City or its citizens, or interfere with any improvements the City may deem proper to make, or hinder or obstruct the free use of streets by the public. Whenever it shall be necessary in the location, construction or maintenance of the facilities to dig, or in any manner disturb or interfere with any of the streets, the Company shall, at its own cost and expense, immediately thereafter, and in a manner approved by the City, replace and restore such streets in as good a condition as before said work was commenced and in accordance with standards for such work set by City Code or by the City Engineer. In the event any street shall become uneven, unsettled or otherwise require repairing because of the disturbance by the Company, then the Company shall promptly upon receipt of notice from the City to do so, cause said street to be repaired or restored to a good condition, and in compliance with the ordinances and standards of the City.

In the event that at any time during the period of this Agreement the City shall lawfully elect to make necessary public improvements in or upon any street to alter or change the grade of any street or City-owned land, the Company, upon reasonable notice by the City, shall promptly remove or relocate as necessary its facilities at its own expense, and all streets disturbed by the Company shall be restored by it to as good a condition as before said disturbance and in compliance with the standards required by the City. The Company shall not place fixtures where the same will interfere with any other of the various utilities serving the residents of the City. The Company agrees that the City Engineer may, in his discretion, limit the time period during which the Company may construct, locate, repair or maintain its facilities in arterial streets in order to prevent traffic hazards and congestion on said arterial streets; provided, however, that nothing herein stated shall prevent the Company from performing necessary repairs in the event of an emergency. Notice of street closure shall be given to the City Engineer as soon as reasonably possible.

The Company is required to inform and advise the City Engineer of substantial repairs or replacement of existing facilities within or under existing improved, or unimproved, streets or future City streets. In addition, the Company shall be required, at its expense, to provide the City with a plan for significant, non-emergency repairs or replacement of existing facilities within or under existing improved, or unimproved, streets or future City streets at least thirty (30) days prior to commencement of actual work. Where practical, facilities being installed under improved streets shall be pushed or bored under such streets in such manner that the existing improved street is not disturbed unless open cutting has been previously approved by the City Engineer's Office.

Whenever the Company is working in any street, proper and adequate warning signs shall be used, as required by and to the reasonable satisfaction of the City Engineer's Office and any applicable City Code or State Statute. In the event a street is left unrepaired at the end of a normal working day, the Company shall perform all necessary cleanup work and erect and monitor such signs as are adequate to provide notice to the public of the street conditions, said cleanup and signage shall be subject to approval by the City Engineer's Office.

Any street opening made for installation or repair of facilities shall be closed within a maximum of five (5) working days of the making of the opening; and said opening shall be permanently repaired and resurfaced to City standards, unless the City Engineer's Office grants a time extension. In any event, said street opening shall be subject to permit approval by the City Engineer's Office in accordance with any ordinance regulating the same during the term of this Agreement. In the event the Company shall fail to close any street opening within the maximum period specified herein, upon notice to the Company and an opportunity to cure, the City shall be, and hereby is, authorized by the Company to repair and resurface the street opening; and the Company agrees to pay all reasonable and documented costs incurred by the City in doing the same upon demand of the City within thirty (30) days after Company's receipt of the City's invoice. In the reasonable discretion of the City, and prior to opening a street, the Company shall deposit cash or post bond in lieu thereof with the City, the sum of Five Thousand Dollars (\$5,000.00), to be used in the event Company fails to close said street within a reasonable time to a condition satisfactory to the City Engineer's Office within the time specified. Upon the failure of the Company to close a street opening in the time specified, for failure to make such cash deposit or post bond when notified by the City Engineer's Office to do so, or both, the City may, in its reasonable discretion, refuse any permit or permits thereafter required to be issued or obtained for the opening of any streets in the City.

The Company may provide an inspector to observe work by the City or others in the vicinity of the Company's facilities. The inability of the Company to provide an inspector shall not preclude the City or its contractors, agents, or permittees from working after fulfilling their obligations pursuant to Wyo. Stat. §37-12-301 *et seq.*

Section 5. Legal Construction.

This Agreement shall not be construed as a comprehensive franchise agreement. Its terms are limited to the approximate 60 feet of cable described in paragraph 2 hereof.

Section 6. Construction Standards.

All buildings and facilities erected by Company for the purposes of conducting its business shall comply with the City Code in effect at the time of the commencement of construction of said buildings and facilities. Whenever the Company is working in any public right-of-way, they shall comply with the provisions of Title 12 of the City Code.

Section 7. Compensation.

As consideration for this Agreement, Company shall pay to the City an amount equal to Two Dollars and Fifty Cents (\$2.50) times the linear feet of City right-of-way in which facilities are constructed pursuant to this Agreement, due upon completion of construction, and upon each anniversary date of this Agreement and until it expires or terminates. Company may pay all of the amount due of Seven Hundred Fifty Dollars and No Cents (\$750.00) in one lump sum upon execution of this Agreement.

It is further mutually understood and agreed that the City intends to complete an evaluation of the fair market value of its rights-of-way and the parties shall re-negotiate, in good faith, an adjustment to the compensation to be paid to the City based on the fair market value study. In the event the City determines, in its sole discretion, that the Company has failed, neglected or refused to act in good faith, the City may terminate this Agreement.

Section 8. Assignment.

The Company may assign or transfer this Agreement and all rights and obligations hereunder only with the express written permission of the City. Said assignment or transfer shall not be unreasonably withheld by the City. Upon assignment or transfer, the transferee or assignee shall become entitled to all the rights and privileges herein granted and shall assume all of the obligations and liabilities as provided herein. Said assignment or transfer shall not relieve the Company from its obligations and liabilities as provided herein unless specifically provided by the City. Notwithstanding anything to the contrary within the terms of this Use Agreement, Company shall have the right to assign its rights and interest under the agreement to its subsidiaries, affiliates or successor legal entities or to the subsidiaries or affiliates of Company, without notice or consent.

Section 9. Powers.

The Company acknowledges that its rights hereunder are subject to the police power of the City to adopt and enforce general ordinances necessary to the safety and welfare of the public; and it agrees to comply with all applicable general laws and ordinances enacted by the City pursuant to such power.

Any conflict between the provisions of this Agreement and any other present or future lawful exercise of the City's police power shall be resolved in favor of the latter, except that any such exercise that is not of a general application in the jurisdiction, or applies exclusively to the Company or to telephone and telegraph suppliers within the City, which contain provisions inconsistent with this Agreement, shall prevail only if upon such exercise, the City finds a situation exists constituting a danger to health, safety, property or general welfare, or such exercise is mandated by law.

Section 10. Insurance Requirements.

- a. The Company shall file a Certificate of Insurance with the City of Cheyenne verifying each type of insurance coverage listed below.
- b. The Certificate of Insurance shall be submitted to and approved by the City of Cheyenne prior to commencement of performance under this agreement.

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|----|-------------------------|-----------------------|
| c. | <u>Type of Coverage</u> | <u>Minimum Limits</u> |
|----|-------------------------|-----------------------|

Commercial General Liability (Including Products and completed Operations)	\$1,000,000 Per Occurrence \$2,000,000 Aggregate
Explosion, Collapse, Under- ground (XCU Endorsements) if applicable to the hazards of a specific project.	\$1,000,000 Per Occurrence \$2,000,000 Aggregate
Business Automobile Liability	\$1,000,000 CSL
Workers' Compensation	Statutory
Employer's Liability "Stop Gap" (if afforded by voluntary Workers' Compensation)	\$500,000 Each Accident \$500,000 Each Disease- Policy Limit \$500,000 Disease/Each Employee

- d. It is understood and agreed that these policies are primary and not contributory. All policies required under this agreement shall be in effect for the duration of the project and agreement. Insurance certificates must include a clause stating that the insurance may not be canceled, amended or allowed to lapse until the expiration of at least thirty (30) days advance written notice to the City of Cheyenne.
- e. The City of Cheyenne shall be named as an **additional insured** on the Company's insurance policies, except workers' compensation, and the Company shall provide a copy of the endorsement providing this coverage.
- f. The City has the right to reject a certificate of insurance if the Company's insurance company is widely regarded in the insurance industry as financially unstable. Any insurance company providing coverage under this contract shall have a minimum A.M. Best rating of A- (excellent).
- g. The City has the right to review the certificates of any or all subcontractors used by the Company. Further, the City requires that the subcontractors' insurance coverage be equivalent to that required of the Company.
- h. The City has the right to increase the required minimum limit of liability on the agreement as warranted by an increase in hazard. Examples of increased hazard include, but are not limited to:
 - 1. handling of hazardous materials
 - 2. activities involving large congregations of people
- i. The City shall have the right to consult with the Company's insurance agent for disclosure of relevant policy information, but the City’s failure to request or review such policies, endorsements, and certificates shall not affect the City’s rights or Company’s obligation hereunder. Disclosure of relevant policy information would specifically involve, but is not limited to:
 - 1. exclusions endorsed
 - 2. deductibles
 - 3. claims in progress which could significantly reduce the annual aggregate limit

Section 11. Indemnification.

The Company will compensate the City for the full actual loss, damage or destruction of the City’s property that in any way arises from or is related to this Agreement or activities

undertaken pursuant to this Agreement (including, without limitation, the installation, construction, operation or maintenance of Company's Communications Facilities), except to the extent caused by the gross negligence or willful misconduct on the part of the City or its agents, officers or employees.

The Company will further indemnify, defend and hold harmless the City and its agents, officers and employees, from any and all losses, damages, costs, expenses (including reasonable attorney's fees), statutory fines or penalties, actions or claims for personal injury (including death), damage to property, or other damage or financial loss of whatever nature (except special or consequential damages other than personal injury and property damage) in any way arising out of or in connection with this Agreement or activities undertaken pursuant to this Agreement (including, without limitation, the installation, construction, operation or maintenance of Company's Communications Facilities), except to the extent caused by the gross negligence or willful misconduct on the part of the City or its agents, officers or employees. The Company specifically assumes the liability for actions brought against the City and its agents, officers and employees, by the Company's agents, officers or employees, and the Company specifically waives any immunity from the enforcement of this indemnification provision that might otherwise be provided by workers' compensation law or by other state or federal laws.

Section 12. Governmental Immunity.

The City of Cheyenne expressly reserves the right to invoke governmental immunity for any claims arising out of this Agreement pursuant to the Wyoming Governmental Claims Act, Wyo. Stat. § 1-39-101, *et seq.*

Section 13. Waiver.

The waiver of any breach of any of the terms or conditions of this Agreement shall be limited to the act or acts constituting such breach, and shall never be construed as being a continuing or permanent waiver of any such terms or conditions, all of which shall be and remain in full force and effect as to future acts or happenings notwithstanding any such individual waiver of any breach thereof.

Section 14. Default and Termination.

In the event the Company shall make material default in the observance or performance of any one or more of the agreements, duties or obligations imposed upon it by this Agreement, and if any such default or defaults shall continue for a period of thirty (30) days after written notice thereof to the Company from the City stating the alleged default on the part of the Company, and the Company fails to take reasonable action necessary to cure said default, then and in each and every case, the City, in addition to all other rights and remedies allowed by law, shall be entitled to terminate this Agreement, and all rights and privileges of the Company under this Agreement shall thereupon be at an end. Provided, however, that the Company shall not be considered to be in default and be excused from performance at all times during which the Company may be delayed or interfered with by acts of God, action of or under governmental authority having jurisdiction over the Company, labor strikes or other conditions not controlled by, or brought about by, the actions of the Company; provided, however, that excuse from performance shall not relieve Company from any payment, as provided herein, to the City.

Section 15. Renewal.

This Agreement may be renewed by the Company upon terms that are mutually agreeable to the Company and the City. Renewal of this Agreement will not be effective unless it is approved by the governing body of the City of Cheyenne. The Company can begin renewal of this Agreement six (6) months prior to the expiration date.

Section 16. Abandonment.

The Company may terminate this Agreement thirty (30) days after giving the City notice of abandonment of the facilities.

Section 17. Notice.

Whenever any notice is to be given pursuant to this Agreement, it shall be effective on the date it is sent in writing by registered or certified mail, addressed as follows:

City: City of Cheyenne
Attn: City Clerk
2101 O'Neil Avenue
Cheyenne, Wyoming 82001

With copies to:
City Attorney
City Engineer

Company: Warren Federal Credit Union
114 E. 7th Ave.
Cheyenne Wyoming 82001

Section 18. Amendment.

This Agreement contains the entire agreement of the City and the Company and may only be amended or modified in writing signed by both parties.

Dated this _____ day of _____, 2013.

CITY OF CHEYENNE

BY:

Richard L. Kaysen, Mayor

(SEAL)

ATTEST:

Carol Intlekofer, City Clerk

WARREN FEDERAL CREDIT UNION

BY:

Title: _____

WITNESS:

Title: _____